

tele. However, the overall quantum of financing would definitely come down as participation in terms of HNIs with a smaller quantum of bids will go up.”

While NBFCs may lose out on business, it was never the focus area of the regulators. As mentioned earlier, the only aim was to reduce the exuberance witnessed in the HNI segment of IPOs and bring in some sanity.

### SANITY OR DICHOTOMY?

Pranav Haldea, Managing Director of Prime Database, a primary market tracker, believes some sanity will return to the IPO market, especially at a time when many issues saw their HNI portion getting subscribed multiple hundred times. “Instances of individual HNIs putting in ₹100-crore bids in a single IPO will go away. That is good for the IPO market and will also reduce the volatility on the day of listing because leveraged HNIs come primarily for listing-day gains,” says Haldea.

Data from Prime Database shows that till date there have been 11 IPOs in which the HNI portion has been subscribed over 500 times each with Apollo Micro Systems—the IPO came in January 2018—holding the record at 963.53 times. Interestingly, its retail segment was subscribed only 39.04 times, while that reserved for institutional investors saw a subscription of 42.15 times.

Last July, the IPO of Clean Science & Technology saw retail portion subscription in single digits—8.09 to be precise—but HNIs clearly saw something in the company that the retail investors couldn’t. What else would explain the 205 times subscription in the HNI portion.

Market veteran Arun Kejriwal believes this kind of dichotomy in terms of the response from different categories of investors will be a thing of the past going ahead. He says the regulatory moves will lead to a two-fold benefit as HNI bids will get more realistic and, more importantly for retail investors, pricing of IPOs would also be more realistic. “The RBI move will have two major repercussions in the capital market. Days of HNI portion getting subscribed 500 or 800 times are gone as HNIs will no longer have access to huge funds at a mere 1 per cent margin since margin was a function of the quantum of subscription,” says Kejriwal, Director, Kejriwal Research & Investment Services. “Secondly, there will be no rush to sell on the listing day, which can partly be attributed to the Sebi move. The greater impact of the two moves put together would be that the pricing of IPOs would be much more realistic.”

### DEBUT DAY, PRICING WOES

Listing of a new firm on the bourses is always looked upon with excitement, with investors keen to know how the public markets value the company. Price discovery is an important aspect of the stock markets, but leveraged



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**PRANAV HALDEA**  
MD, PRIME DATABASE



**There will be no rush to sell on listing day... The greater impact of the two moves [of the RBI and Sebi] put together would be that the pricing of IPOs would be much more realistic**

**ARUN KEJRIWAL**  
DIRECTOR, KEJRIWAL RESEARCH  
& INVESTMENT SERVICES

HNIs hamper the process since the debut day sees intense selling pressure in the first few hours of the trading session. This is primarily due to the fact that such HNIs subscribe to the shares only for listing-day gains.

In fact, market participants say that at times even a good listing might not lead to HNIs making money as around 15-18 per cent goes towards financing costs. “A stock may list at a premium of 20 per cent and while genuine investors may feel happy, leveraged HNIs might still be in the red considering their borrowing costs. The bigger issue is such HNIs add to the selling pressure, thereby impacting the gains of genuine investors,” says a person involved in the IPO marketing process.

Haldea believes that curtailing HNI financing would reduce the volatility on listing day. There will be lesser selling pressure that day, which will in turn lead to better price discovery. In a similar context, Kejriwal says the pricing of IPOs, going forward, could be 15-20 per cent cheaper than what they normally would have been if the RBI and Sebi measures were not there. Reason: there will be less money available to pump up demand.

While one may have to wait and watch to see the real benefits in terms of sanity or pricing, one thing is for sure: the kind of artificial demand that was created using leveraged finance will certainly go down and genuine investors will reap the ensuing benefits. **BT**

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